



area of the market where we have valuation comfort is large caps. While some mid- and small-cap stocks have corrected significantly, offering selective bottom-up opportunities, the overall segment remains overvalued.

If you asked me whether to invest in a mid-cap or small-cap funds, my answer would be a clear no. At this juncture, my preference would be to stick with large-cap funds.

The sector where we see the best combination of valuations and growth is banking and financial services.



What are the spaces that you are avoiding, given the moves that we've seen in terms of valuations coming down?

One of the areas which I have had concerns about in terms of valuation very early to the game was the entire industrial space.

Now, that has sold off quite a bit in this recent correction. But the valuations, still to our mind, look more expensive than we would be comfortable with. And I also think recent developments, particularly in trade policy emanating out of the US, would cause entrepreneurs across the world to halt all investments in manufacturing tradable goods.

If there was a dark horse, I would say that is really the metal space.



What is your outlook on interest rates over the next 8 to 12 months? Do you expect an interest rate cut?

The scope for the RBI to cut rates remains limited. It's important to remember that credit growth had already begun slowing in the fourth quarter of 2023 when the

RBI, in hindsight, rightly tightened regulations on aggressive lending in the consumer segment. This slowdown has now played out, with credit growth in the economy moderating to around 11-11.5%, just slightly above nominal GDP growth.

As policymakers focus on reviving growth—especially after the last two GDP prints, which were underwhelming—they may become more comfortable with credit expansion. However, this

lying economic weakness—where consumers simply don't have enough disposable income—or is it due to a lack of compelling new models from auto manufacturers?

The economy is multidimensional, so there isn't a single factor at play. However, one key aspect that cannot be overlooked is the significant slowdown in credit growth over the past two years, which has directly impacted demand.

Another crucial factor—par-

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will likely not extend to unsecured consumer loans, where excessive lending has raised concerns.

Rather than worrying about rate cuts, the key factor to watch is system liquidity.

Once the RBI ensures adequate banking sector liquidity, credit growth can accelerate by 300 to 400 basis points above nominal GDP growth, which creates a favorable environment for the financial sector.



Looking at the broader GDP data, have there been any hits or misses that the markets have failed to anticipate? Specifically, in the auto sector, the latest data shows a rare instance of negative year-on-year sales growth in India. Is this a reflection of the under-

ticularly post-Covid—is India's increasing emphasis on macro stability and fiscal prudence.

One key market reset that investors need to acknowledge is the shift in nominal GDP growth expectations. Over the last two years, nominal GDP growth has stabilised at 10-11%, with inflation targeting firmly in place at 4% (+ or -2%).

As a result, the days of expecting 12-14% nominal GDP growth and 15% corporate profit growth may be behind us.

While we will continue to see cyclical upswings, long-term growth projections must align with this new reality: something that equity market participants may not have fully priced in yet. **BT**

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